

1994, the changes in the shape of the yield curve caused a serious disruption among overleveraged market participants, including Mexico, Orange County, and many small banks. The de-risking of balance sheets and the unwinding of portfolios put pressure on rates. Interestingly, a steady stream of long volatility positions were also being unwound at the same time. This selling pressure left interest rate options trading at levels that implied that volatility would be well below where it had been historically. These depressed levels for options provided a ready hedge for any short volatility securities (*e.g.*, mortgages) or a way to create an asymmetric profile of returns by taking a position against the extreme scenario priced into the market that the Fed would hike 200 basis points between Christmas and Easter, in the middle of a meltdown. Modern analytical tools enabled both identification of the pricing discrepancy and the ability to calculate with greater certainty the possibility that the aberrational pricing would normalize.

Graham and Dodd do a fine job of categorizing and analyzing the price dislocations between two similar assets in “Comparison of Definitely Related Issues” (Chap. 51). An interesting and useful contemporary example of an arbitrage using related instruments involves trading corporate bonds versus credit default swaps (CDS) referencing the bond issuer, a common relative value strategy known as CDS basis trading.

To pursue such a strategy, an investor can buy a cash bond together with insurance on that cash bond through a CDS contract with a creditworthy counterparty. Depending on the specific nature of the mispricing in question, one might expect their “margin of safety” or alpha to come from one or more types of cheapness: the spread over riskless rates on the bond exceeding the spread on the CDS; the bond trading at a lower price than the implied price of the CDS, which would be realized in an event of default; or perhaps from the cheapest to deliver option arising from the provision that any *pari passu* bond can be delivered in the event of default.